Executive tear sheet

Serendib University Endowment | USD 10 million | 2026-09-30

Proposed decision: Accept. Implement the proposed allocation subject to owner review and monitoring.

Method: dynamic EWMA risk parity over SPY, AGG, GLD, XLE: equal volatility risk contributions from an exponentially weighted covariance (lambda 0.97, last 750 days), re-estimated at each month-end close from data through that close. The target below applies from 1 October 2026 and changes monthly. Path ES99 1.69%; target ES99 2.60% vs 3.00% budget. Mandate v5 was written after these results were seen; Accept reproduces them and is not an independent test.

ETF	Target from 1 Oct 2026	Exposure at USD 9.6m
SPY	20.80%	$1,997,059
EFA	0.00%	$0
EEM	0.00%	$0
AGG	51.72%	$4,965,293
GLD	8.36%	$802,656
XLE	19.11%	$1,834,992
XLK	0.00%	$0

One-day 99% model	VaR USD	ES USD
historical	$155,142	$249,995
normal	$131,589	$150,975
mc_t	$148,353	$204,907
evt	$159,994	$245,575

After-cost CAGR 6.16% (3.48% real over CPI) from 2006-12-28; maximum drawdown -18.48%. Historical replay, not untouched evidence.

Stress losses and validation are allocation-specific. VaR/ES do not cap loss. Review at 10% drawdown/yellow zone; consider validated de-risking at 15%/red zone.

Validation (garch_evt, 99%): 26/2449 breaches, green zone; Kupiec p 0.761, conditional coverage p 0.091. Largest specified scenario loss $1,621,961.

Expected return 8.70% nominal (5.96% real; floor 1% real over US CPI). Cash reserve USD 400,000 in year 1, growing 3.64% a year (year 2 USD 414,560). Illustrative 25-year outcome: all reserve payments funded in 96.56% of paths; initial real capital preserved in 18.14%. Not a calibrated forecast.

Run final-v5-20261031; weights 3044f8908ff6. Owner validation and solo eligibility pending. AI assistance disclosed in memorandum.